

Mortgage Clauses

The first section of the mortgage identifies the parties and dates the agreement. It also references the note that may either be part of the instrument or a separate instrument.

MORTGAGE

WORDS USED OFTEN IN THIS DOCUMENT

(A) "Security Instrument." This document, which is dated _____, will be called the "Security Instrument."
(B) "Borrower."

Whose address is _____, sometimes will be called "Borrower" and sometimes simply "I" or "me." _____, (C) "Lender."

will be called "Lender." Lender is a corporation or association which exists under the laws of _____. Lender's address is _____.

(D) "Note." The note signed by Borrower and dated _____, will be called the "Note."

Next, a legal description is given of the property. Following that, in our sample mortgage, is the borrower's assurance to the lender that there are no known or undisclosed encumbrances on the title. In other words, the borrower's assuring the lender that the title is clear of any defects. This is important to the lender because in the event of a default, the lender will claim the property by foreclosing on the lien, and the lender wants to have a good and marketable title to be able to sell the property and see a return of its money. Here's what that section looks like in our sample.

BORROWER'S RIGHT TO MORTGAGE THE PROPERTY AND BORROWER'S OBLIGATION TO DEFEND OWNERSHIP OF THE PROPERTY

I promise that: (A) I lawfully own the Property; (B) I have the right to mortgage, grant and convey the Property to Lender; and
(C) there are no outstanding claims or charges against the Property, except for those which are of public record.

I give a general warranty of title to Lender. This means that I will be fully responsible for any losses which Lender suffers because someone other than myself has some of the rights in the Property which I promise that I have. I promise that I will defend my ownership of the Property against any claims of such rights.

Next, there are covenants between the borrower and the lender. In our sample document, the borrower promises to:

- Pay on the mortgage.
- Pay property taxes.
- Replenish escrow funds if they run low.
- Pay charges and assessments against the property (so no liens can be placed, which would endanger the lender's interest in the property).
- Occupy the property.
- Keep the property in good condition (again, protecting the lender's collateral for the loan).
- Maintain property and hazard insurance.

The borrower also warrants that no false claims have been made on the loan application and agrees that the lender may treat any false claims as a default on the loan.

Borrower rights are noted in some security instruments. In particular, borrowers have the right to possess and use the property, and the right of defeasance, which means the borrower will receive the full title once the debt is repaid.

The lender promises to:

- Keep escrow funds (for prepaid taxes and insurance) safe in a lending institution.
- Use the escrow funds to pay the escrow items.

There is a **due-on-sale clause**, also called an alienation clause, which requires the borrower to repay the loan on the property when selling or transferring ownership of the property.

17. AGREEMENTS ABOUT LENDER'S RIGHTS IF THE PROPERTY IS SOLD OR TRANSFERRED

Lender may require immediate payment in full of all Sums Secured by this Security Instrument if all or any part of the Property, or if any right in the Property, is sold or transferred without Lender's prior written permission. Lender also may require immediate payment in full if a beneficial interest in Borrower is sold or transferred and Borrower is not a natural person. However, Lender shall not require immediate payment in full if this is prohibited by federal law on the date of this Security Instrument.

If Lender requires immediate payment in full under this Paragraph 17, Lender will give me a notice which states this requirement. The notice will give me at least 30 days to make the required payment. The 30-day period will begin on the date the notice is mailed or delivered. If I do not make the required payment during that period, Lender may act to enforce its rights under this Security Instrument without giving me any further notice or demand for payment.

There is also an **acceleration clause**, which gives the lender the right to declare all money owed immediately due and payable in the event of borrower default.

21. LENDER'S RIGHTS IF BORROWER FAILS TO KEEP PROMISES AND AGREEMENTS

Except as provided in Paragraph 17 above, if all of the conditions stated in subparagraphs (A), (B) and (C) of this Paragraph 21 are met, Lender may require that I pay immediately the entire amount then remaining unpaid under the Note and under this Security Instrument. Lender may do this without making any further demand for payment. This requirement is called "immediate payment in full."

If Lender requires immediate payment in full, Lender may bring a lawsuit to take away all of my remaining rights in the Property and have the Property sold. At this sale Lender or another person may acquire the Property. This is known as "foreclosure and sale." In any lawsuit for foreclosure and sale, Lender will have the right to collect all costs and disbursements and additional allowances allowed by law and will have the right to add all reasonable attorneys' fees to the amount I owe Lender, which fees shall become part of the Sums Secured.

Lender may require immediate payment in full under this Paragraph 21 only if all of the following conditions are met:

(A) I fail to keep any promise or agreement made in this Security Instrument, including the promises to pay when due the Sums Secured.

(B) Lender sends to me, in the manner described in Paragraph 14 above, a notice that states:

- (i) The promise or agreement that I failed to keep;
- (ii) The action that I must take to correct that default;
- (iii) A date by which I must correct the default. That date must be at least 30 days from the date on which the notice is given;
- (iv) That if I do not correct the default by the date stated in the notice, Lender may require immediate payment in full, and Lender or another person may acquire the Property by means of foreclosure and sale;
- (v) That if I meet the conditions stated in Paragraph 18 above, I will have the right to have Lender's enforcement of this Security Instrument discontinued and to have the Note and this Security Instrument remain fully effective as if immediate payment in full had never been required; and
- (vi) That I have the right in any lawsuit for foreclosure and sale to argue that I did keep my promises and agreements under the Note and under this Security Instrument, and to present any other defenses that I may have.

(C) I do not correct the default stated in the notice from Lender by the date stated in that notice.

Some mortgages include a prepayment penalty, although that's becoming more rare (you'll see it's not included in our sample mortgage). This clause puts the borrower on notice that if the loan is paid off before a specified period of time, the lender may be owed additional interest. Lenders want to make their profit! If borrowers pay off the loan too quickly, the lender may not realize enough profits to cover its expenses (and keep its stockholders happy). The prepayment penalty protects the lender in that eventuality.

In our sample mortgage, and in all correctly drafted mortgages, the lender agrees to discharge the mortgage once the borrower's paid off the loan in full. That's also called a defeasance clause, and it looks like this in our sample mortgage:

22. LENDER'S OBLIGATION TO DISCHARGE THE SECURITY INSTRUMENT

When Lender has been paid all amounts due under the Note and under this Security Instrument, Lender will discharge this Security Instrument by delivering a certificate stating that this Security Instrument has been satisfied. I will not be required to pay Lender for the discharge, but I will pay all costs of recording the discharge in the proper official records.

The lender is required to execute a **satisfaction of mortgage (a release of mortgage)** when it's paid in full. It's a rare and happy day in a homeowner's life when that document's received!